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| Book    | Administrative Guideline Manual  |
| Section | Administrative Guideline Updates |
| Title   | Copy of STUDENT ACTIVITY FUNDS   |
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## 6610 - STUDENT ACTIVITY FUNDS

### A. Collection and Deposit of Cash

All money collected from any source should be substantiated by prenumbered student activity group receipts, cash registers supplying cumulative readings, prenumbered tickets or other auditable, checkable records. In all cases, where tickets are used, ticket reports and unsold tickets must be available for audit. The audit trail is most important. Where it is not practicable to collect the cash in a central office, collections from various classes may be collected by cashiers and turned into the school's main offices within one (1) business day.

If cash registers are used for the collection of monies, the following conditions shall apply:

1. registers are sealed without resettable totals
2. total reconciles with the sales
3. tickets or tapes supporting "over-rings" are retained
4. all voids or adjustments are approved

### B. Financial Forms

1. should be prenumbered
2. perpetual inventory should be maintained on prenumbered collection forms, receipts, tickets, etc.
3. prenumbered forms should not be printed ~~on in the school printing~~ ~~devices~~ department
4. sponsor should keep records of collections, by source
5. no collection should be turned over to cashier without receiving a prenumbered receipt

### C. Disbursements

The preference for All disbursements ~~is shall be made~~ by check (warrant), prepared by the Treasurer's office, supported by a proper, approved requisition and purchase order, and verified by a receiving invoice. They also should be verified for accuracy of price extensions and totals. ~~Should payment be necessary by credit card, it must be done so in compliance with board policy 6423.~~

### D. Purchase Order Process

The purchasing procedure and the payment of claims procedure described in AG 6320A shall be used for all purchases from student activity funds.

~~Small expenditures (within established dollar limitations) may be made from a petty cash fund maintained on an imprest system (described in Supplement 17 – USAS Manual). Such imprest system must address dollar amount, location, limitation of disbursement; also cash plus receipts must always equal the amount authorized for petty cash.~~

#### **E. Auditing**

The State Department of Education requires an annual audit of student activity funds. The State Auditor recommends that at the end of each school year, an internal audit be conducted in order to verify compliance with Board policies, receipts, expenditures, cash on hand, ~~petty cash~~, and to balance all ledgers and journals with the depository. A copy of this audit should be on file in both the Treasurer's and Superintendent's Office. All organizational records and internal audit working papers should also be retained in the Treasurer's Office so that they may be audited.

Each activity fund established under Section 3315.062, Revised Code, will be audited at the same time the examination of the records and accounts of the District is made or at such other time as needed or as requested by the Board. The audit shall include a determination as to whether legal requirements, including those imposed by the Board, are being followed.

#### **F. Management of Funds**

##### **1. Fund 200**

The Fund 200 consists of those student activity programs which have student participation in the activity and have students involved in the management of the program. This includes those student activities which consist of a student body, student president, student treasurer, and faculty advisor. The Fund 200 is a fiduciary fund-type trust fund classification.

##### **2. Fund 300**

The Fund 300 consists of those programs which have student participation in the activity but do not have student management of the programs. This would usually include athletic programs but could also include the band, cheerleaders, flag corps, and other similar types of activities. The primary criterion for determining how funds are classified is "who determines how the money is spent?" The Fund 300 is a governmental fund-type special revenue classification.

#### **G. Establishment and Maintenance of Student Activity Funds (see Form 6610-F1)**

In compliance with the laws of the State for the establishment and maintenance of a student activity fund the following regulations shall govern each such District fund:

1. Each student activity organization or group which has financial transactions involving \$50 or more shall establish an account on the District records in which it shall record its transactions.
2. Advisors or sponsors shall be selected at the direction of the Board and their duties shall consist of preparing the annual budget and purpose clause of their activity group, supervising the activities of their group including preparation of fund-raising potentials, maintaining group financial oversight, and such other duties as assigned by the principal or Superintendent.
3. Student-activity funds shall not be used for any purpose which represents an accommodation, loan, or credit to Board employees or other persons. Postdated checks may not be accepted and checks may not be cashed for anyone.
4. Board employees or others may not make purchases through a student body in order to take personal advantage of student-body purchasing privileges.
5. No student-activity organization shall be obligated for purchases made by students, faculty, and/or others unless supported by a written purchase order signed by the student officers and/or advisor and administrator. Examples of expenditures which are prohibited are:

- a. equipment, supplies, forms, postage for curricular or classroom use or for District business;
  - b. repairs and maintenance of District-owned equipment or property;
  - c. salaries for services which are the responsibility of the District or for District assignments;
  - d. memberships that benefit individuals;
  - e. all items for personal use;
  - f. contributions to ~~fundraising~~ fund-raising drives for charitable organizations unless part of a group's purpose and objectives statement;
  - g. installment and/or lease purchases.
6. If a student group wishes to make a contribution from its activity fund to a charitable organization or to an individual with a demonstrated health, economic, or emergency need, it should submit the request to the Treasurer/CFO stipulating the amount of the donation along with an explanation of how the donation relates to the groups stated goals.
  7. Monthly and annual financial reports of all student-activity funds are to be prepared by the Treasurer/CFO and submitted to the Board. A copy of such reports shall also be sent to the sponsor of each activity.
  8. ~~Fundraising~~ Fund-raising projects for any student activity shall, in general, contribute to the educational experience of students and shall not conflict, but add to, the instructional program.
  9. All fundraising/sales projects or programs must be approved by the administrator ~~who shall be and the Coordinator of Community Relations~~ notified at least two (2) weeks prior to the sale or event.
  10. All sources of revenue must be approved by the Treasurer/CFO, on behalf of the Board, and shall be included in the student-activity group's current-year budget. Receipts and expenditures must be coded by USAS Classification.
- Records shall be maintained of the receipt and disbursement of all such monies in accounts according to the activity involved.
11. No purchase may be made unless there is sufficient cash in the fund to pay for that purchase, plus outstanding orders.
  12. All funds should be of an exchange nature and large balances should not be permitted to accumulate. Money should not be raised or collected unless there is a definite purpose for doing so.
  13. All monies collected should be deposited with the Treasurer/CFO or in a designated depository within one (1) business day of collection or the next business day following the last business day of that week.
  14. Payments from a student-activity fund to an employee are subject to standard payroll deductions.
  15. All expenditures from a student-activity fund shall be in accordance with the approved budget. Authorization for an expenditure must be accompanied by an approved requisition processed by a formal purchase order, and certified by the Treasurer/CFO that funds are available for the expenditure.

#### **H. Establishment and Maintenance of Athletic Funds (Student Activity Funds)**

1. The Athletic Director shall be responsible for the approval of requisitions for expenditures of funds.
2. Purchase orders for goods and services purchased through the athletic fund will be approved by the Athletic Director and building principal.
3. No athletic fund organization shall be obligated for the purchases made by students, faculty, and others, unless such purchase is supported by a written purchase order signed by the Treasurer/CFO.

4. Disbursements from the athletic fund will be made by check and approved by the Athletic Director.
5. All athletic fundraising fund-raising activities shall be approved by the Athletic Director and, building principal, and Coordinator of Community Relations.

#### Needy Student Fund

- A. Donations may be made to needy students from any student activity fund which has such contributions as part of its objectives.
- B. The criteria for determining students in need will be:
  1. participation in the free or reduced-price lunch program;
  2. students whose parents receive T.A.N.F. (Temporary Assistance for Needy Families) funds;
  3. recommendation of the student's principal.

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